

U.S. IT Hardware

International Business Machines Corp

Rating

Market-Perform

Price Target



230.00 USD (280.00 OLD)

23 July 2026

Estimate Change



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IBM FQ2'26: Nothing broken; Market-perform TP \$230

IBM reported FQ2 2026 earnings yesterday after the market close.

IBM reported Q2 results that fell short of prior expectations following a rare pre-announcement, with total revenue of \$17.2B growing just 1% yoy (vs. cons at \$17.5bn) and EPS of \$2.93, up 5% yoy. In line with the company's pre-announcement the weakness was related to slippage of some deals (mainly in mainframes and transaction processing) due to capex budget constraints in the current rising price environment driven by memory shortages.

FY26 revenue guidance reduced slightly but most slipped deals should come through in rest of this year. FY26 revenue growth revised down to 4-5% (from 5%+) as mainframe and associated software weakness is somewhat offset by strength in Distributed Infra (Power servers and Storage) with the low end reflecting current environment as the base case. FY26 software growth revised down to 6% - 8% (from 10%+). FY26 infrastructure growth revised up to +LSD% (from -LSD%), driven by growth in distributed infrastructure and expectation that most of the slipped deals in mainframes in FQ2 get realized in 2H'26. FY26 consulting revenue growth expectation same at low-to-mid-single digit%. IBM continues to expect FCF +~\$1B YoY and 100bps of operating pretax margin expansion.

We tweak estimates down, reflecting recent results and latest guidance. We don't see anything broken here, rather just some push outs due to severe capex budgetary pressure at customers. Our new FY26 and FY27 EPS is \$12.23 and \$13.40 respectively.

Investment Implications

We lower our TP to \$230 on 17x (inline with 5 year average and vs. 20x before) our new FY27 EPS. For more on IBM valuation see our note [here](#).

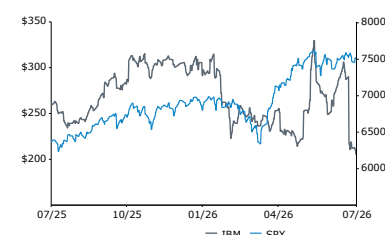
Adjusted EPS	F25A	F26E	F27E
IBM (USD)	11.58	12.23	13.40
OLD	--	12.35	13.93

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	67,527	70,570	74,486	--
Operating Margin (%)	--	--	--	--
Cost of Goods Sold (M)	(27,343)	(28,474)	(29,123)	--

Close Date	22 Jul 2026			
IBM Close Price (USD)	205.77			
Price Target (USD)	230.00			
Upside/(Downside)	12%			
52-Week Range	332.46/204.44			
SPX	7,498.96			
FYE	Dec			
Div Yield	3.3%			
Market Cap (USD) (M)	193,400			
EV (USD) (M)	250,629			
Performance	YTD	1M	6M	12M
Absolute (%)	(30.5)	(22.3)	(29.6)	(27.0)
SPX (%)	9.5	0.4	8.5	18.8
Relative (%)	(40.1)	(22.7)	(38.1)	(45.9)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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DETAILS

IBM reported FQ2 2026 earnings yesterday after the market close.

IBM reported Q2 results that fell short of prior expectations following a rare pre-announcement, with total revenue of \$17.2B growing just 1% yoy (vs. cons at \$17.5bn) and EPS of \$2.93, up 5% yoy. In line with the company's pre-announcement the weakness was related to slippage of some deals (mainly in mainframes and transaction processing) due to budget constraints in the current rising price environment driven by memory shortages.

Software: \$7.8B, +5% YoY. The shortfall was concentrated in Transaction Processing (-8% / -9% constant currency), as a number of large deals slipped late in June when clients redirected spending toward servers, storage, and memory ahead of expected price increases. Data grew +19% / +18% cc, boosted by Confluent's first full quarter post-close. Hybrid Cloud (Red Hat) grew +11%, accelerating a point sequentially on stronger subscription mix and stable consumption growth, with OpenShift ARR now at \$2.2B. Automation grew +4% / +3% cc, remaining largely insulated given its subscription-based mix.

About 80% of software revenue is recurring (Red Hat, HashiCorp, Confluent) and grew ~8%, while the remaining 20% transactional revenue was down high-single-digits.

Infrastructure: \$3.8B, -7% YoY. IBM Z fell -42% while Distributed Infrastructure (Power and Storage) was the standout at +37%, its best quarterly growth on record, as enterprises reprioritized amid anticipated memory price increases.

Consulting: \$5.3B, flat / +1% cc YoY. Signings grew +6% for a second straight quarter, with generative AI representing about 50% of signings and now over 30% of backlog, as clients moved from AI pilots toward enterprise-wide deployment.

Margins, EPS, and FCF. IBM's operating gross margin was down 70bps yoy at 59.4%, while operating pre-tax income margin expanded 30 bps yoy to 19.2%. **IBM reported EPS of \$2.93, up 5% yoy, vs consensus of \$2.97.** FCF arrived at \$2.5bn, lower than consensus of \$2.9bn.

LOWERED GUIDANCE AND OUR THOUGHTS

FY26 revenue guidance reduced slightly but most slipped deals should come through in rest of this year. FY26 revenue growth revised down to 4-5% (from 5%+) as mainframe and associated software weakness is somewhat offset by strength in Distributed Infra (Power servers and Storage) with the low end reflecting current environment as the base case. FY26 software growth revised down to 6% - 8% (from 10%+). FY26 infrastructure growth revised up to +LSD% (from -LSD%), driven by growth in distributed infrastructure and expectation that most of the slipped deals in mainframes in FQ2 get realized in 2H'26. FY26 consulting revenue growth expectation same at low-to-mid-single digit%. IBM continues to expect FCF +~\$1B YoY and 100bps of operating pretax margin expansion.

Infrastructure meaningfully underperformed (-7% YoY) as guided in the prelim. Within the segment, IBM Z revenue fell 42%, while Distributed Infrastructure (Power and Storage) grew 37%. On the mainframe business, management emphasized that there is no evidence of customers migrating away from the platform and IBM Z continues to underpin more than 70% of the world's transaction value. Management attributed the bifurcation within Infrastructure to a shift in customer spending late in Q2, with clients prioritizing servers, storage, and memory purchases to secure supply-constrained infrastructure ahead of anticipated price increases. During our follow-up call, we asked what drove the upward revision in FY26 Infrastructure growth expectations from low-single-digits negative to low-single-digits positive despite recent mainframe weakness. Management indicated that: (1) mainframe assumptions remain unchanged in this upward revision; (2) demand for Power and Storage has strengthened materially; and (3) the record \$500 million backlog is expected to be largely converted to revenue in Q3.

Software revenue grew 5%, with organic growth roughly flat. AI-related software businesses continued to accelerate, led by Data (+18%) and Red Hat (+11%). The soft patch is Transaction Processing (-9%), which is a direct spillover from the IBM Z mainframe air-pocket. Management noted that many customers purchase mainframe hardware and the associated software stack through Enterprise License Agreements (ELAs), which typically include a significant concentration of Transaction Processing software. As a result, softer mainframe purchasing activity has had a corresponding impact on this software category. In contrast, subscription- and consumption-based software offerings are generally treated as operating expenses rather than capital expenditures and have therefore remained largely insulated from the recent CapEx spending dynamics. It was also highlighted that approximately 80% of annual software revenue is recurring, driven by subscription and consumption-based products such as Red Hat, HashiCorp, and Confluent.

Reported Data growth of 19% / 18% constant currency, was materially supported by the inclusion of Confluent, and organic Data revenue was likely flattish. Confluent generated approximately \$282 million of revenue in Q2 2025; applying

a 21% growth rate—reasonable given Confluent's historical growth trajectory and IBM claiming that the business was off to a strong start—implies roughly \$342 million of Q2 2026 revenue. Against estimated total Data revenue of approximately \$1.8 billion, this suggests ex-Confluent Data revenue of roughly \$1.458 billion, or a decline of approximately 3% yoy assuming FQ2'25 Data revenue was roughly \$1.5bn. Management attributed the weakness to the delayed mainframe enterprise license agreements, noting that while roughly 60% of the affected software was Transaction Processing, a significant portion also included Data and Automation software. This indicates that a meaningful portion of IBM's Data and Automation software portfolio remains tied to mainframe, and can be affected by mainframe weakness.

Consulting revenue came in at \$5.3B, flat / 1% constant currency, with generative AI now representing about 50% of signings and over 30% of backlog **as clients shift from AI pilots toward enterprise-wide deployment**. This aligns with our broader industry thesis that enterprises are moving from AI experimentation to large-scale adoption as more organizations recognize the productivity gains and ROI potential that AI can deliver. **However, our CIO survey tells a more cautious story on the demand for third-party consultants**: a net 25% of CIOs now expect to use consultants to deploy AI, down from a net 35% in our prior survey, suggesting waning appetite for external support even as internal AI adoption accelerates. More notably, a net negative -15% of CIOs expect their consulting spend to increase over the remainder of 2026, a signal that there could be headwinds down the road.

WE REDUCE ESTIMATES AND TP TO \$230 ON 17X NEW FY27 EPS

We tweak estimates down, reflecting recent results and latest guidance. We don't see anything broken here, rather just some push outs due to severe capex budgetary pressure at customers. Our new FY26 and FY27 EPS is \$12.23 and \$13.40 respectively. **We also lower our TP to \$230 on 17x (inline with 5 year average and vs. 20x before) our new FY27 EPS.**

EXHIBIT 1: IBM Model Before vs After

(\$USD Millions)	FY 2026E			FY 2027E			FY 2028E		
	New	Old	Delta	New	Old	Delta	New	Old	Delta
Total Revenue	\$70,570	\$71,975	(2.0)%	\$74,486	\$75,604	(1.5)%	\$79,260	\$80,769	(1.9)%
Software Revenue	\$32,108	\$33,140	(3.1)%	\$35,242	\$36,612	(3.7)%	\$38,592	\$40,173	(3.9)%
Consulting Revenue	\$21,646	\$21,827	(0.8)%	\$22,295	\$22,482	(0.8)%	\$22,741	\$22,931	(0.8)%
Infrastructure Revenue	\$15,879	\$16,117	(1.5)%	\$16,054	\$15,633	2.7%	\$17,025	\$16,781	1.5%
Total PTI	\$13,719	\$13,859	(1.0)%	\$15,123	\$15,722	(3.8)%	\$16,708	\$17,415	(4.1)%
PTI Margin %	19.4%	19.3%	19bps	20.3%	20.8%	-49bps	21.1%	21.6%	-48bps
Software PTI	\$10,981	\$12,007	(8.5)%	\$12,054	\$13,211	(8.8)%	\$13,200	\$14,496	(8.9)%
Software PTI Margin%	34.2%	36.2%	-203bps	34.2%	36.1%	-188bps	34.2%	36.1%	-188bps
Consulting PTI Profit	\$2,586	\$2,986	(13.4)%	\$2,663	\$3,076	(13.4)%	\$2,739	\$3,160	(13.3)%
Consulting PTI Margin	11.9%	13.7%	-174bps	11.9%	13.7%	-174bps	12.0%	13.8%	-174bps
Infrastructure PTI Profit	\$3,449	\$2,550	35.2%	\$3,488	\$2,345	48.7%	\$3,742	\$2,559	46.2%
Infrastructure PTI Margin	21.7%	15.8%	590bps	21.7%	15.0%	673bps	22.0%	15.3%	673bps
EPS (\$ per share)	\$12.23	\$12.35	(1.0)%	\$13.40	\$13.93	(3.8)%	\$14.73	\$15.35	(4.0)%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 2: IBM Actual vs Bernstein vs Consensus

2026Q2					
(\$USD Millions)	Reported	Berne	Delta	Consensus	Delta
Revenue	\$17,162	\$17,961	-4.4%	\$17,529	-2.1%
Software Revenue	\$7,761	\$8,142	(4.7)%	\$7,998	(3.0)%
Consulting Revenue	\$5,327	\$5,508	(3.3)%	\$5,398	(1.3)%
Infrastructure Revenue	\$3,835	\$4,118	(6.9)%	\$3,966	(3.3)%
Gross Profit	\$10,194	\$10,778	-5.4%	\$10,422	-2.2%
Gross Margin %	59.4%	60.0%	-61bps	59.5%	-6bps
PTI	\$3,290	\$3,464	-5.0%	\$3,537	-7.0%
PTI Margin %	19.2%	19.3%	-12bps	20.2%	-101bps
Software PTI	\$2,502	\$2,809	(10.9)%	\$2,493	0.4%
Software PTI Margin%	32.2%	34.5%	-226bps	31.2%	107bps
Consulting PTI Profit	\$647	\$716	(9.6)%	\$592	9.2%
Consulting PTI Margin	12.1%	13.0%	-85bps	11.0%	117bps
Infrastructure PTI Profit	\$835	\$638	30.8%	\$784	6.5%
Infrastructure PTI Margin	21.8%	15.5%	627bps	19.8%	202bps
Net Income	\$2,792	\$2,944	-5.2%	\$2,820	-1.0%
EPS (\$ per share)	\$2.93	\$3.09	-5.2%	\$2.97	-1.4%

Source: Bloomberg, Company reports, Bernstein estimates and analysis

EXHIBIT 3: IBM Consensus vs Bernstein

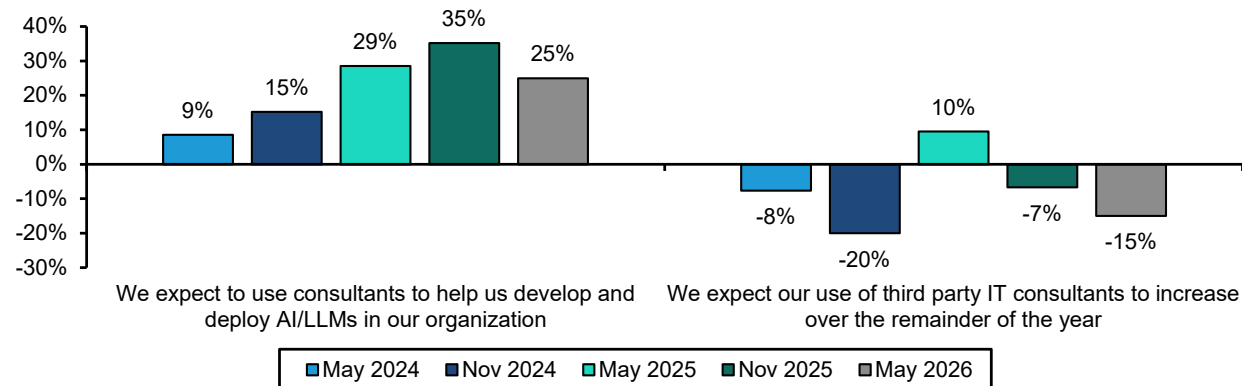
IBM	FY2026	FY2027	FY2028
Revenues (\$M)			
Consensus	\$70,584	\$73,411	\$77,290
Actual / Bernstein Est.	\$70,570	\$74,486	\$79,260
Bernstein vs. Cons.	0.0%	1.5%	2.5%
PTI Margin (%)	19.5%	20.2%	20.8%
vs. Bernstein	19.4%	20.3%	21.1%
EPS (\$)			
Consensus	\$12.21	\$13.12	\$14.32
Actual / Bernstein Est.	\$12.23	\$13.40	\$14.73
Bernstein vs. Cons.	0.1%	2.1%	2.9%

Source: Bloomberg, Bernstein estimates and analysis

EXHIBIT 4: **Bernstein vs. Actual Revenue Growth Rates (GAAP, Not Constant Currency)**

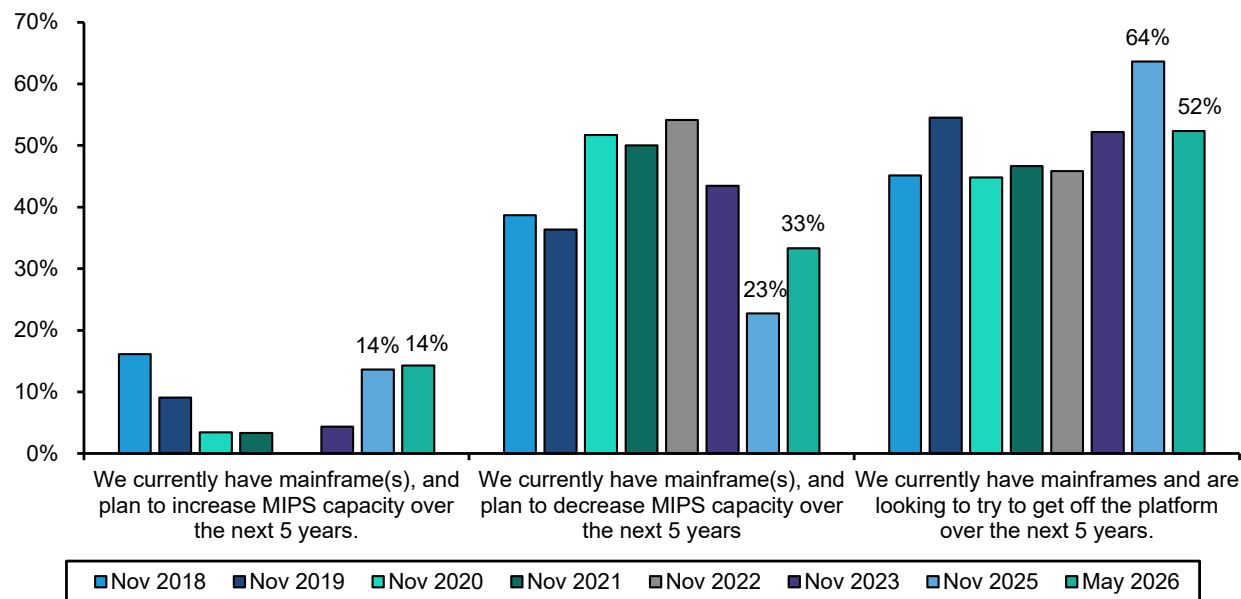
	Q2/26		
	Our Estimate	Actual	Delta
Hybrid Cloud (Red Hat)	10.0%	11.0%	1.0%
Automation	10.0%	3.0%	-7.0%
Data	20.0%	18.0%	-2.0%
Transaction Processing	4.0%	-9.0%	-13.0%
Software Segment	10.2%	5.0%	-5.2%
Strategy and Technology	3.5%	1.0%	-2.5%
Intelligent Operations	3.5%	1.0%	-2.5%
Consulting Segment	3.5%	1.0%	-2.5%
Hybrid Infrastructure	1.0%	-10.0%	-11.0%
Infrastructure Support	-3.0%	-1.0%	2.0%
Infrastructure Segment	-0.2%	-7.0%	-6.8%
Financing Segment	1.0%	11.0%	10.0%
Total IBM Revenue	5.8%	1.0%	-4.8%
Currency	0.0%	0.0%	0.0%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 5: **CIO Perspective on Consulting**

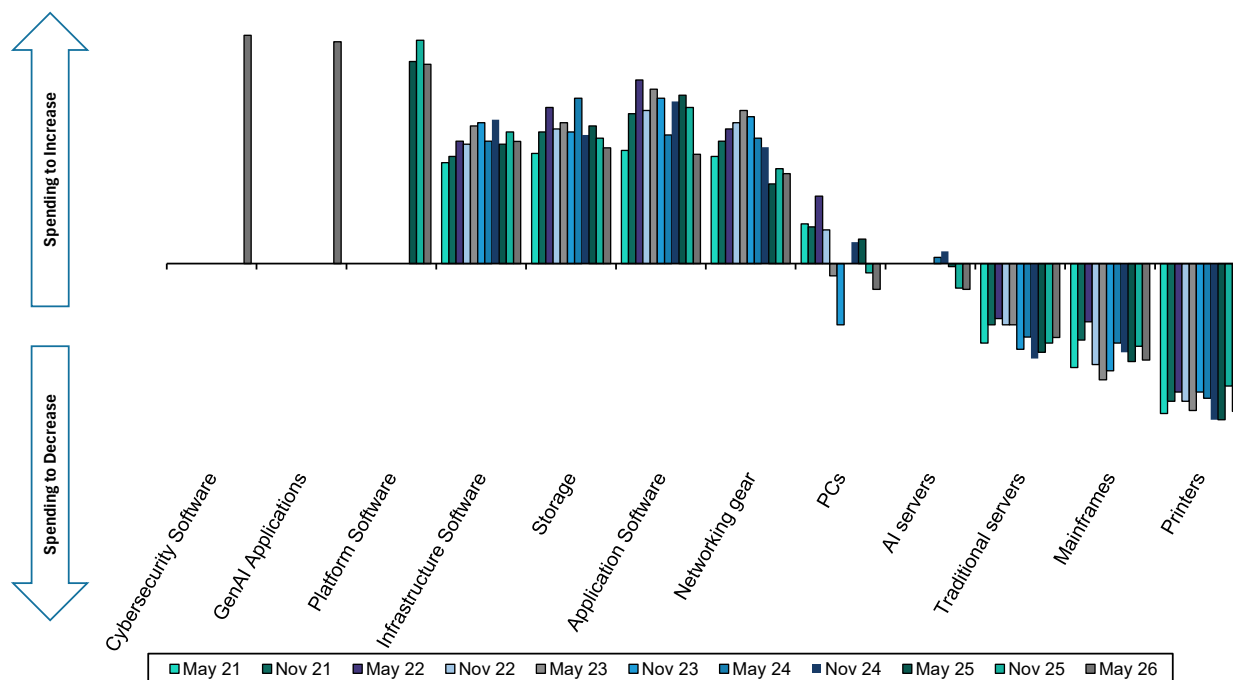
Source: Bernstein CIO Surveys

EXHIBIT 6: **CIO perspective on Mainframes**

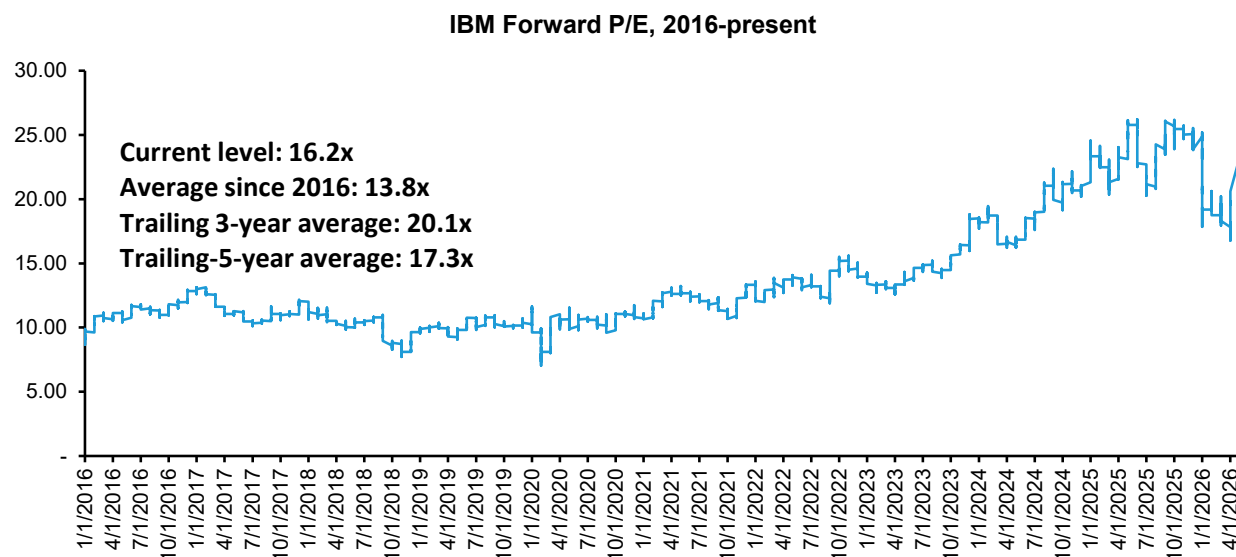


Source: Bernstein CIO Surveys

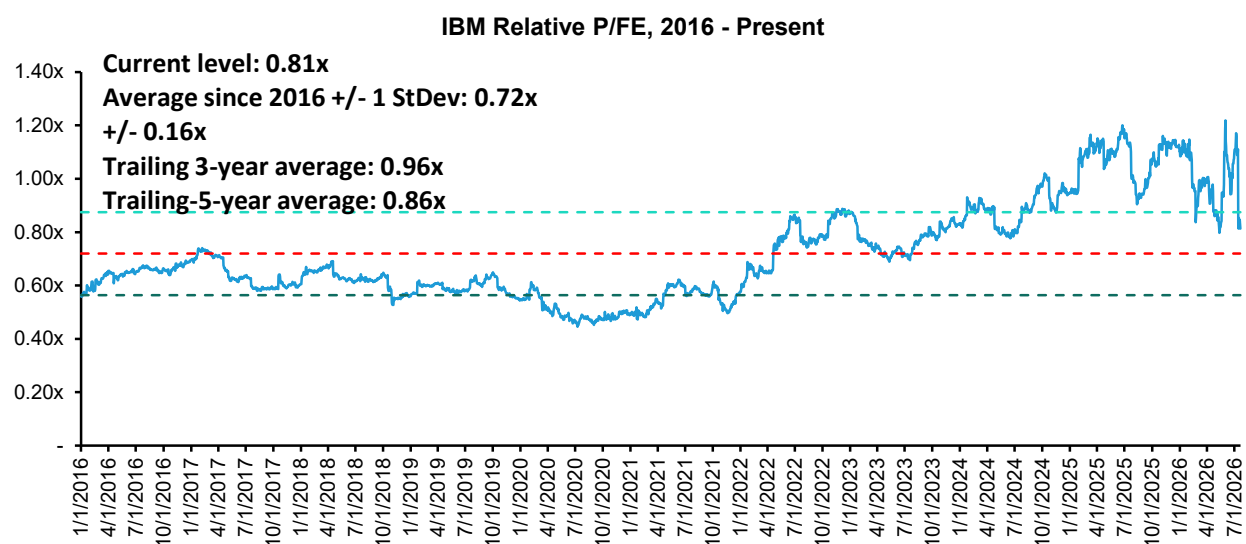
EXHIBIT 7: **Weighted % of CIOs Planning Increase/Decrease in IT spending by Category**



Source: Bernstein CIO Surveys

EXHIBIT 8: **IBM P/FE**

Source: Bloomberg (updated as of 7/22/2026), Bernstein Analysis

EXHIBIT 9: **IBM Relative P/FE**

Source: Bloomberg (updated as of 7/22/2026), Bernstein Analysis and Estimates

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 10: IBM Income Statement

Unit: \$, Millions										
IBM Income Statement	FY2024	FY2025	FY2026	FY2027	FY2028	FY25 Q4	FY26 Q1	FY26 Q2	FY26 Q3E	FY26 Q4E
Pro Forma Non-GAAP Income Statement										
Revenue	62,754	67,527	70,570	74,486	79,260	19,686	15,917	17,162	17,004	20,487
COGS	26,479	27,343	28,474	29,123	30,262	7,527	6,730	6,968	6,904	7,872
Gross Profit	36,275	40,184	42,097	45,363	48,999	12,159	9,187	10,194	10,100	12,616
Margin %	57.8%	59.5%	59.7%	60.9%	61.8%	61.8%	57.7%	59.4%	59.4%	61.6%
SG&A	18,529	18,706	18,733	19,805	21,075	5,100	4,682	4,560	4,746	4,746
RD&E	7,479	8,312	8,824	9,056	9,636	2,187	2,173	2,311	2,170	2,170
I/P & Custom Development Income	(996)	(964)	(842)	(1,052)	(1,119)	(277)	(172)	(166)	(252)	(252)
Other (Income) / Expense	(1,656)	(517)	(307)	308	440	(74)	(98)	(280)	(334)	405
Interest Expense	1,712	1,935	1,977	2,123	2,259	478	473	486	509	509
Pre-tax Income	11,207	12,712	13,712	15,123	16,708	4,745	2,129	3,290	3,262	5,038
Margin %	17.9%	18.8%	19.4%	20.3%	21.1%	24.1%	13.4%	19.2%	19.2%	24.6%
Tax	1,523	1,719	2,051	2,269	2,506	438	308	498	489	756
Net Income from Continuing Ops	9,684	10,993	11,661	12,855	14,202	4,307	1,821	2,792	2,772	4,283
Margin %	15.4%	16.3%	16.5%	17.3%	17.9%	21.9%	11.4%	16.3%	16.3%	20.9%
Diluted EPS	\$ 10.32	\$ 11.58	\$ 12.23	\$ 13.40	\$ 14.73	\$ 4.52	\$ 1.91	\$ 2.93	\$ 2.90	\$ 4.48
Dividend per share	\$ 6.67	\$ 6.71	\$ 6.75	\$ 6.79	\$ 6.83	\$ 1.68	\$ 1.68	\$ 1.69	\$ 1.69	\$ 1.69
Average Share (Diluted)	938.2	949.6	953.8	959.4	964.1	952.4	952.1	953.3	954.6	955.9
Growth %										
Revenue	1.4%	7.6%	4.5%	5.5%	6.4%	12.1%	9.5%	1.1%	4.1%	4.1%
Gross Profit	3.8%	10.8%	4.8%	7.8%	8.0%	14.4%	11.6%	(0.1%)	5.3%	3.8%
SG&A	3.2%	1.0%	0.1%	5.7%	6.4%	11.8%	3.3%	(2.5%)	8.0%	(7.0%)
R&D	10.4%	11.1%	6.2%	2.6%	6.4%	11.2%	11.7%	10.2%	4.2%	(0.8%)
Opex	1.8%	9.6%	3.3%	6.5%	6.8%	16.6%	8.7%	(1.5%)	4.3%	2.2%
Pre-tax Income	8.7%	13.4%	7.9%	10.3%	10.5%	11.1%	22.5%	2.9%	7.5%	6.2%
Net Income	9.2%	13.5%	6.1%	10.2%	10.5%	16.7%	20.0%	5.3%	10.1%	(0.6%)
Diluted EPS	7.5%	12.2%	5.6%	9.6%	9.9%	15.5%	19.2%	4.7%	9.5%	(0.9%)
Estimated Currency Impact	(1.1%)	(1.2%)	0.1%	-	-	1.8%	3.0%	0.1%	(1.5%)	(1.0%)
Implied CC Growth	2.5%	8.8%	4.4%	5.5%	6.4%	10.3%	6.5%	1.0%	5.6%	5.1%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 11: **IBM Balance Sheet**

Unit: \$, Millions										
IBM Balance Sheet	FY2024	FY2025	FY2026	FY2027	FY2028	FY25 Q4	FY26 Q1	FY26 Q2	FY26 Q3E	FY26 Q4E
Balance Sheet										
Assets										
Cash & Cash Equivalents	14,161	13,641	9,691	13,057	9,245	13,641	10,864	7,217	10,127	9,691
Accounts Receivable	7,751	9,164	9,879	10,453	11,123	9,164	7,735	7,392	8,199	9,879
Inventory	1,289	1,220	1,294	1,338	1,391	1,220	1,476	1,746	1,135	1,294
Short-term financing receivables	7,159	8,475	7,761	7,839	9,265	8,475	6,510	6,656	8,672	7,761
Other current assets	4,123	4,444	5,467	5,729	5,319	4,444	5,329	5,387	4,701	5,467
Total Current assets	34,483	36,944	34,092	38,416	36,343	36,944	31,914	28,398	32,834	34,092
Net PP&E and Operating ROU assets	8,928	9,028	9,079	9,319	9,711	9,028	9,000	8,804	9,009	9,079
Prepaid pension assets	8,280	8,369	10,414	11,102	11,855	8,369	8,409	8,480	9,398	10,414
Goodwill	60,706	67,717	76,100	79,101	82,102	67,717	74,709	74,599	75,349	76,100
Intangibles	10,660	11,391	13,633	13,931	12,009	11,391	14,624	13,955	13,794	13,633
Investments, deferred tax, and sundry assets	8,765	10,722	11,952	14,102	16,341	10,722	10,561	10,737	9,998	11,952
Long-term financing receivables	5,353	7,708	8,309	8,392	8,427	7,708	7,014	7,126	9,284	8,309
Total Non-Current Assets	102,692	114,935	129,487	135,947	140,445	114,935	124,317	123,701	126,833	129,487
Total Assets	137,175	151,879	163,579	174,363	176,789	151,879	156,231	152,099	159,667	163,579
Liabilities & Equity										
Accounts Payable	4,032	4,756	4,939	5,226	5,561	4,756	4,039	4,395	4,100	4,939
Deferred income	13,907	16,101	16,054	17,621	19,296	16,101	17,034	16,160	16,054	16,054
Short-term debt	5,089	6,424	5,775	5,775	5,775	6,424	8,655	5,775	5,775	5,775
Other current liabilities	10,114	11,377	11,103	11,713	12,073	11,377	10,373	9,582	10,675	11,103
Total Current Liabilities	33,142	38,658	37,871	40,335	42,705	38,658	40,101	35,912	36,603	37,871
Long-term debt	49,884	54,836	56,212	56,212	50,000	54,836	57,706	56,212	56,212	56,212
Retirement obligations	9,432	9,018	11,351	12,096	12,916	9,018	8,763	8,603	11,351	11,351
Other long-term liabilities	17,325	16,628	19,859	21,102	22,602	16,628	16,605	16,831	19,826	19,859
Total non-current liabilities	76,641	80,482	87,422	89,410	85,519	80,482	83,074	81,646	87,388	87,422
Total liabilities	109,783	119,140	125,293	129,746	128,224	119,140	123,175	117,558	123,992	125,293
Stockholders' equity	27,306	32,648	38,198	44,530	48,476	32,648	32,974	34,452	35,587	38,198
Non-controlling interests	86	93	89	89	89	93	81	89	89	89
Total Equity	27,392	32,741	38,287	44,619	48,565	32,740	33,055	34,541	35,676	38,287
Total liabilities and equity	137,175	151,881	163,580	174,364	176,789	151,880	156,230	152,099	159,668	163,580

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 12: IBM Cash Flow Statement

Unit: \$, Millions										
IBM Cash Flow Statement	FY2024	FY2025	FY2026	FY2027	FY2028	FY25 Q4	FY26 Q1	FY26 Q2	FY26 Q3E	FY26 Q4E
Net Income	6,023	10,593	10,083	12,212	9,739	5,600	1,216	2,165	2,634	4,068
Depreciation & Amortization	4,667	5,021	4,894	4,425	4,538	1,296	1,274	1,349	1,133	1,137
Other	2,755	(2,421)	598	3,290	3,065	(2,856)	2,679	(917)	(667)	(497)
Cash flow from operations	13,445	13,193	15,574	19,927	17,342	4,040	5,169	2,597	3,100	4,709
Capex, net of dispositions	(490)	(970)	(664)	(467)	(673)	(379)	(224)	(206)	(117)	(117)
Investments in software	(637)	(647)	(629)	(616)	(619)	(171)	(159)	(154)	(158)	(158)
Acquisitions, net of divestitures	(2,591)	(8,295)	(11,980)	(3,001)	(3,001)	(391)	(10,464)	(15)	(750)	(750)
Other	(1,219)	(390)	(558)	(1,621)	(1,621)	2,358	358	(106)	(405)	(405)
Cash flow from investing	(4,937)	(10,302)	(13,830)	(5,705)	(5,913)	1,417	(10,489)	(481)	(1,430)	(1,430)
Net proceeds from debt	(880)	2,873	296	-	(6,212)	(1,810)	4,509	(4,213)	-	-
Stock repurchases	-	(1,018)	(1,098)	(1,265)	(1,265)	(167)	(350)	(115)	(316)	(316)
Dividends	(6,147)	(6,255)	(6,355)	(6,430)	(6,466)	(1,574)	(1,576)	(1,590)	(1,593)	(1,596)
Other	(52)	571	1,674	(3,162)	(1,299)	145	136	191	3,150	(1,803)
Cash flow from financing	(7,079)	(3,829)	(5,482)	(10,856)	(15,242)	(3,406)	2,719	(5,727)	1,240	(3,715)
Free Cash Flow	12,398	12,102	14,911	19,460	16,669	3,490	4,786	2,237	2,983	4,592
FCF per Share	\$ 13.21	\$ 12.74	\$ 15.63	\$ 20.28	\$ 17.29	\$ 3.66	\$ 5.03	\$ 2.35	\$ 3.13	\$ 4.80
Margin %	19.8%	17.9%	21.1%	26.1%	21.0%	17.7%	30.1%	13.0%	17.5%	22.4%
FCF ex financing rec	12,749	14,721	15,519	19,551	16,761	7,553	2,220	2,539	967	5,502

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	22 Jul 2026	Price	TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
IBM (IBM)	M	USD	205.77	230.00	(45.9)%	USD	11.58	12.23	13.40	17.8	16.8	15.4
OLD				280.00				12.35	13.93			
SPX			7,498.96									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**International Business Machines Corp**

We value IBM at 17x FY27 EPS of \$13.40 = \$230

RISKS**International Business Machines Corp**

Two of the biggest risks on IBM and to our price target could be risks to both the upside and downside: 1) The quantum pureplays have historically been very newsflow driven - as quantum becomes a bigger part of IBM's story, there is risk that IBM could similarly become more newsflow driven, and 2) IBM's small-model approach to AI is a key uncertainty, and could drive either upside or downside as IBM navigates the AI wave. A further downside risk is that 3) Weak consulting bookings presage broader weakness in the consulting business.

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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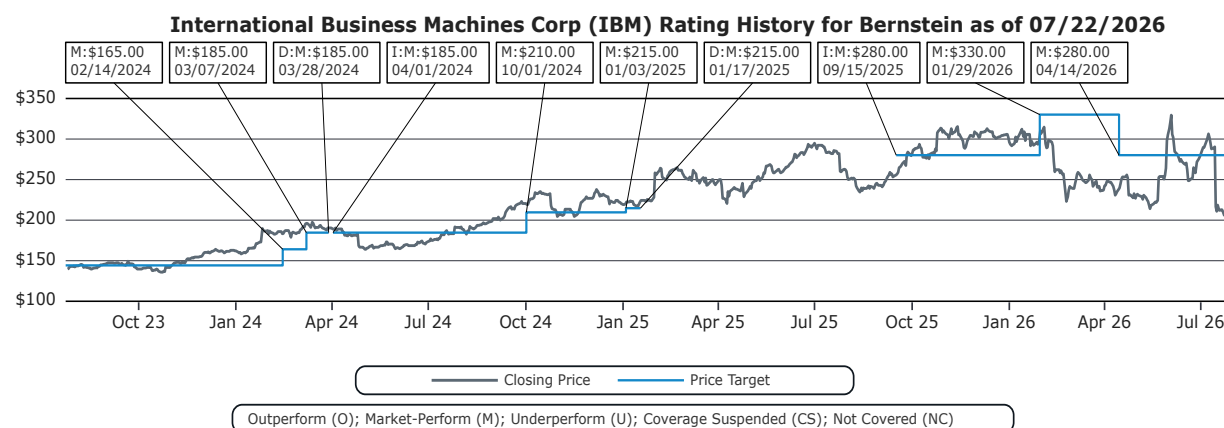
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